



Indian Hospitality Industry

Industry Overview

Contribution to Indian
GDP (2020)

**\$122
Billion**

As of 2018, India was

3rd largest

in terms of
investment in sector

FDI accounted for

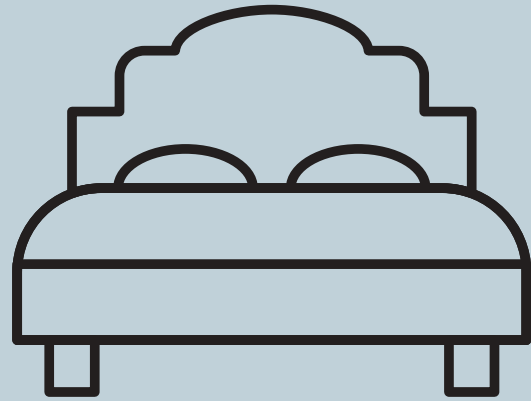
5.9%

of the total
investment in this
sector in the country

Expected to reach
\$512 Billion by 2028

International Hotel Chains are aggressively expanding
in country with a 47% share in industry

Product Types



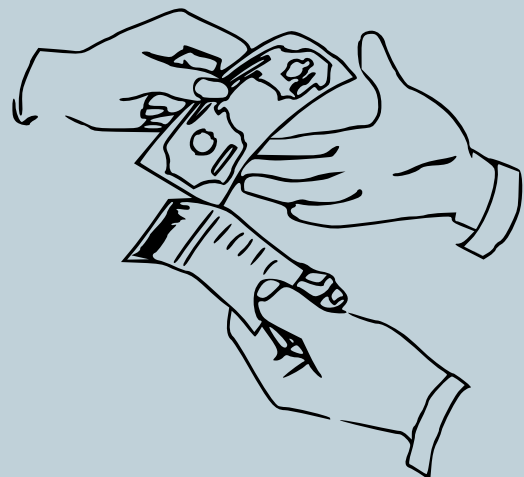
Accommodation Facilities

Hotels, Motels, Resorts, Cabins, Hostels etc



Catering Facilities

Local Restaurants, Cafeterias etc



Travel Facilities

Tour operators, travel agents etc

Major Challenges of Industry



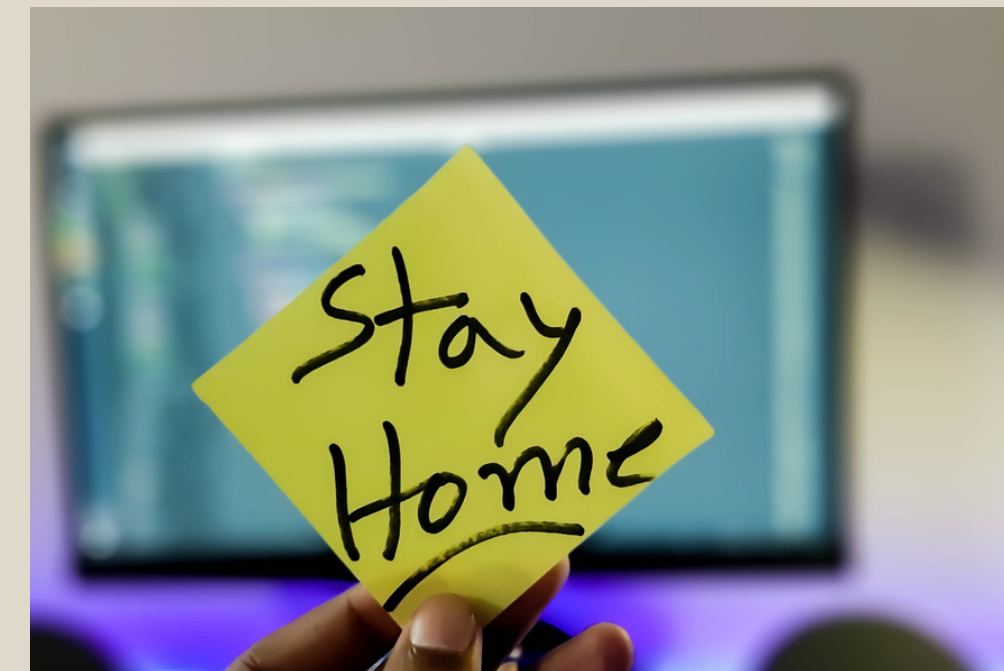
Capital Intensive



70% costs are fixed in nature for this industry with long gestation periods



Impact of Covid



Pandemic has made it unattractive for lenders and led to liquidity crunch and increased interest rates.



The Indian Advantage

Diverse Attractions across the country

This gives a very big advantage for niche tourism industries like medical, adventure, eco, rural, religious, film etc.

Luxury Travel Market Growing at 12.8%

This market is growing at 12.8%, which is the highest among all BRIC nations. For example, 1.2 million cruise visitors are expected to be visiting the country by 2030.

Tie-up with ASEAN countries

India plans to tap into regional tourism by having air bubble tie-ups with other ASEAN countries during this covid period.

Recent Trends in the Industry



Government Initiatives

SAATHI initiative started in 2020 for for safe operation of hotels, restaurants etc. They also organized workshops for homestay owners and provide free loans to revive with tourism sector.



Economic Changes

Industry has taken a hit of more than \$17.8 B in revenue due to the pandemic. Yet, the industry aims to expand by almost 2.5%.



Social and Environmental Factors

High quality, consistent services expected at every step with increasing demand for homestays, staycation and rural tourism. Crime rates also affect an industry.



Technological Factors

Increasing use of IOT to generate new revenue streams, started using data analytics, AI powered chat bots etc to ease customer effort.

Recent Players in the Industry

Government Initiative

E-Visa scheme to be expanded to double tourist inflow in the country. Further, international flights finally opened from 27th March

Dream Hotel Group

Plans to invest heavily in next 3-5 years for cruise tourism sector with 300 million dollars already promised

IHCL

Expected to add 50+ hotels to existing lineup of 165 hotels in new locations like Darjeeling, Labong etc

OYO Rooms

Planning to invest 200 million US Dollars across Indian and South Asian business in capital expenditure, leadership, technology etc.

Hilton Group

Plans to add 18 hotels across India by 2021 alongside 15 already operational hotels under their brand names, with the first DoubleTree by Hilton launched in Jaipur in 2020.

Carlson Group

Plan to add 30 more hotels to their chain of 94 operating hotels by end of 2023. Similar expansions are planned by various chains like Fern, Amatra etc in the country.

Thank You

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